Economics

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International

International Economic Outlook: March 2026

International Commentary

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Summary

- **The U.S.-Iran conflict is increasingly an energy supply shock**: Oil shut-ins are already ~3–4 mbpd with additional LNG disruptions, and a prolonged Hormuz blockage could double supply losses.

- **Baseline Macro Impact:** Oil at ~$85/bbl is a modest drag on 2026 global growth (~2.9% vs. 3.0% pre-conflict) but lifts inflation above ~3% in advanced economies, with Japan and the Eurozone most exposed.

- **Policy Response (Base Case):** Central banks stay cautious through H1 with less appetite for cuts rather than an outright pivot to hikes. Tightening risks rise into H2-2026 for Canada and the Eurozone.

- **Adverse Scenario:** Oil near ~$130/bbl materially raises stagflation risk as Eurozone/UK growth slips into recession along with Japan, inflation jumps ~3 percentage points in advanced economies, likely forcing aggressive rate hikes.

- **Global Differentiation Widens:** Oil-importing emerging market economies with weak frameworks face sharper growth, inflation and external stress, while commodity exporters gain buffers but must manage overheating risks.

- **Country Takeaways:** ECB/BoE bias turns less dovish; BoC shifts from expected cuts to hikes later in 2026; Japan's JPY remains the pressure valve; China slows with limited policy space but no BOP crisis; India stays resilient; Brazil benefits but eases cautiously; Mexico cuts rates later despite oil export status.

Key Themes

- **Ongoing military operations make it hard to assess the full global economic implications of the U.S.-Iran conflict.** It's also difficult to take a strong view on whether hostilities are nearing an end. From a macro perspective, however, the key variable remains energy supply. Crude production shut-ins have already reached ~3–4 mbpd (roughly 4% of global supply), with around 20% of global LNG supply also offline. If tanker flows through Hormuz remain blocked, shut-ins could rise quickly—pushing crude supply losses toward ~6–8 mbpd in the near term, and higher the longer disruption persists. In other words, this is no longer a standard geopolitical risk premium; it is evolving into a physical supply shock with meaningful consequences for the global economy.

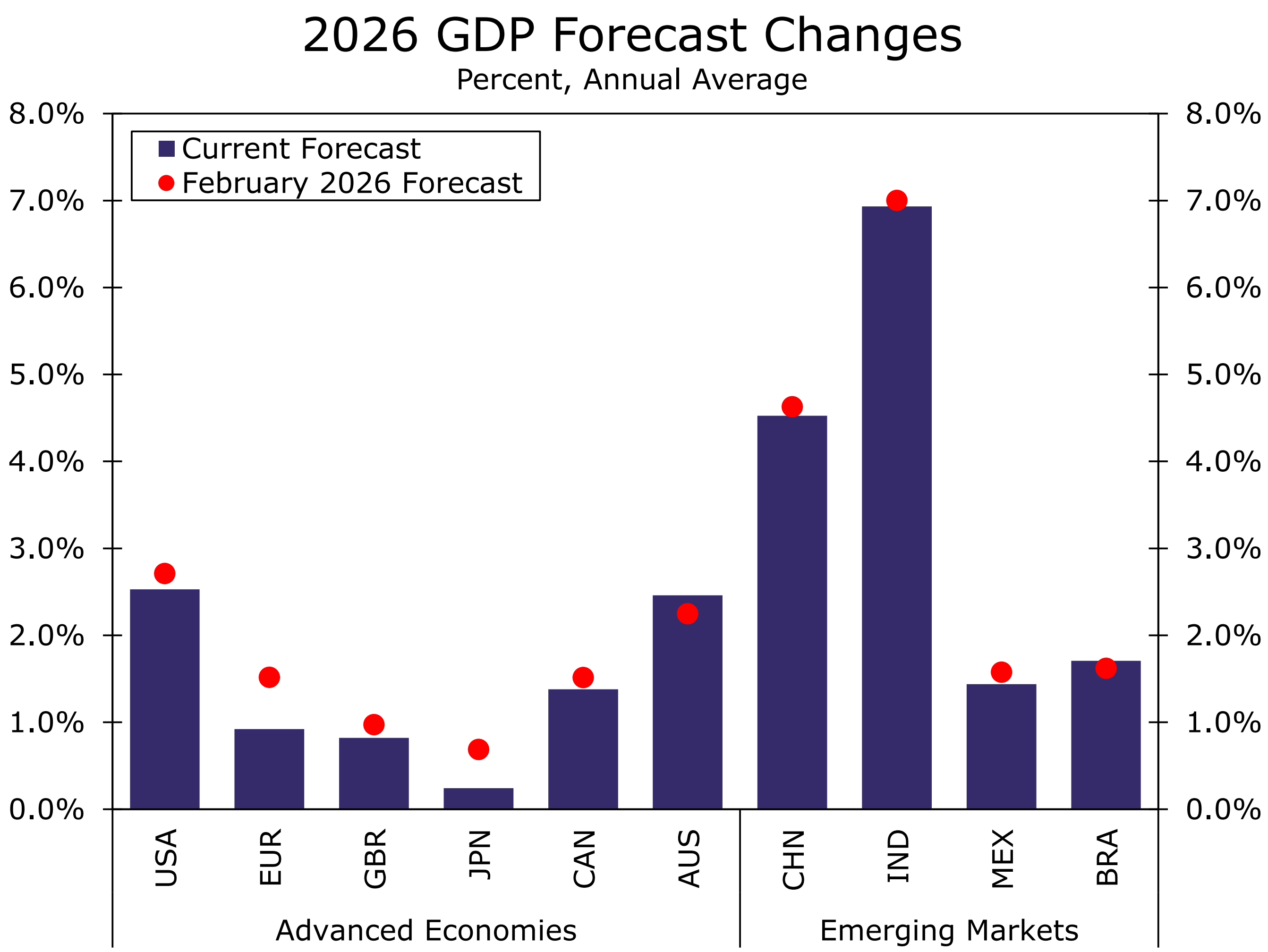
- **So far, higher oil prices look like a modest headwind to global growth, alongside higher inflation in 2026.** At current levels, the futures curve implies an annual average Brent price of roughly $85/bbl for 2026—about 30% above 2025 levels. Assuming financial conditions remain broadly stable, this would take our 2026 global growth forecast to ~2.9% versus 3.0% in our pre-conflict baseline (see February Monthly). The drag should be most pronounced in higher energy-intensity economies with heavy reliance on imported energy—Japan stands out as a likely underperformer. On inflation, our 2026 forecast would likely be lifted above ~3% from 2.4% for advanced economies, with the sharpest increases in economies with larger energy weights and more flexible pass-through; the Eurozone likely sees the biggest step-up. We also expect the inflation impulse to be more persistent than the growth shock, given higher inertia. As such, our 2027 growth forecasts are mostly unchanged, while 2027 inflation forecasts drift modestly higher.

- **Despite the inflationary impulse, we expect central banks to remain in wait-and-see mode through H1—less an outright pivot to hikes than a reduced appetite for cuts.** We look for the Bank of Canada (BoC), European Central Bank (ECB) and Bank of England (BoE) to emphasize two-sided inflation risks and optionality in upcoming meetings. That said, the policy asymmetry could shift toward tightening later in 2026 in places like Canada and the Eurozone, where policy rates are closer to neutral and inflation concerns could re-emerge. We expect the Reserve Bank of Australia (RBA) to pull forward its rate hike from May to its March meeting, responding more to hotter inflation prints than higher oil. Although further RBA hikes are not expected at present, the risks clearly skew in that direction if higher oil prices are sustained.

- **Adverse Scenario: A sustained move higher in oil toward $130/bbl would materially raise stagflation risks for large oil importers.** Figure 3 illustrates the effect of a near-doubling of oil prices from average 2025 levels on the global economy. These are reduced-form estimates and do not incorporate endogenous policy responses, second-round wage/expectations effects or tighter financial conditions. Even so, more economies—most notably the Eurozone and the UK—see growth falling into recessionary territory along with Japan. While large EM importers such as China and India likely keep headline growth positive, the shortfall would still *feel* recessionary via weaker labor markets and softer household consumption. In this adverse scenario, the inflation impulse (Figure 4) is sizable: median inflation rises by roughly 3 percentage points for advanced economies (AEs) and 2.5 percentage points for emerging markets (EMs). A shock of that magnitude would almost certainly elicit policy action, in our view—potentially rate hikes on the order of 200–250 bps in AEs and 250–350 bps in EMs (ex-China).

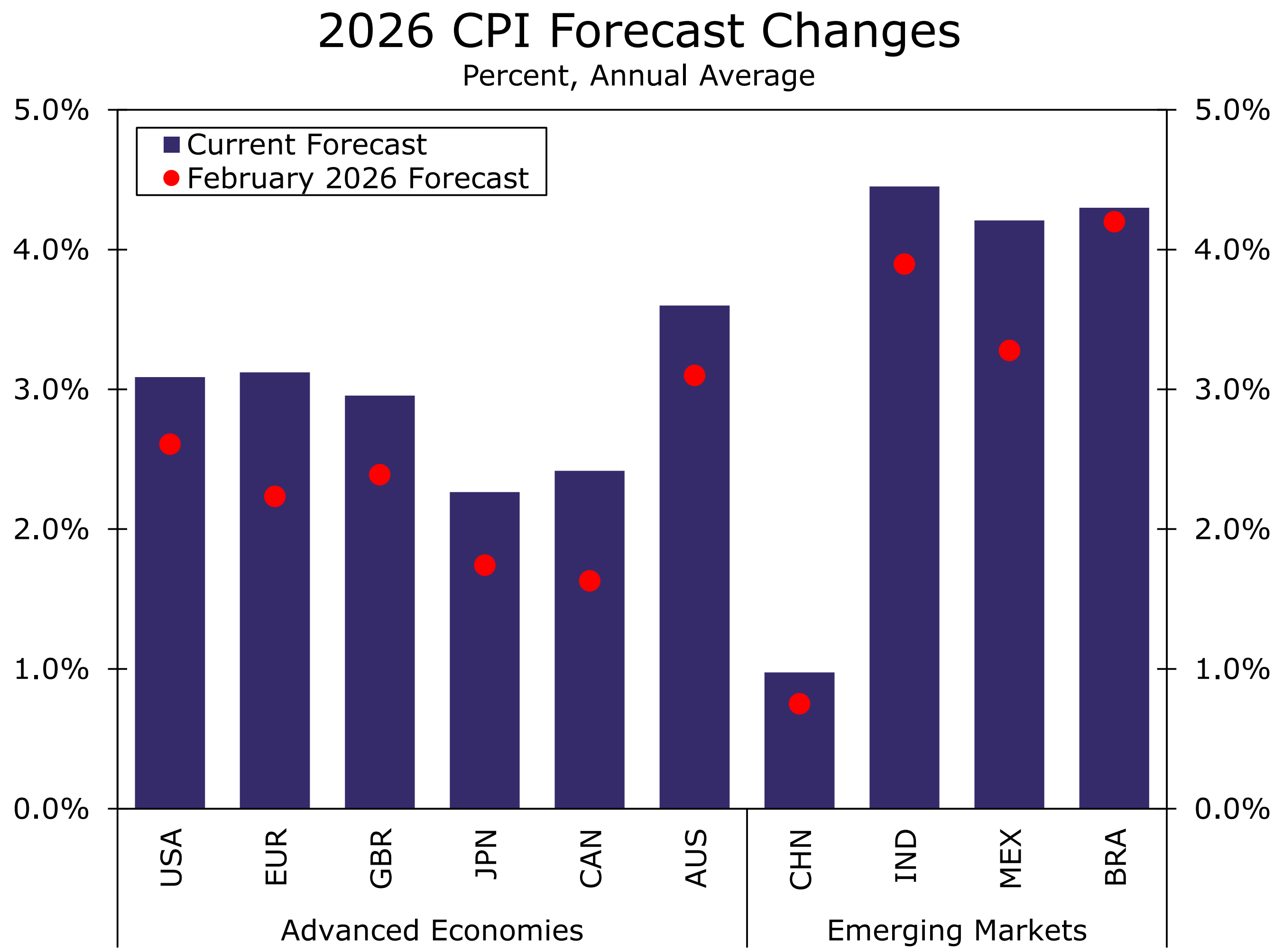
- **A large oil shock would also expose broader external and fiscal vulnerabilities, alongside renewed tests of policy credibility.** Figure 5 summarizes spillovers in a vulnerability heatmap across inflation, GDP and external/fiscal balances. The overarching macro theme is a re-steepening of inflation paths, a rotation of marginal growth and external strength toward selected commodity exporters and a higher premium on differentiation across emerging markets—particularly where credibility is weaker and energy pricing is less flexible. Among advanced importers, Japan, the Eurozone and the UK appear most vulnerable, given the combination of outsized growth drag and inflation lift. Among EM importers, the mix of higher inflation, weaker growth, wider current account deficits and tighter fiscal space implies more difficult policy trade-offs and sharper cross-country dispersion in market performance; Thailand, Turkey, South Africa, India, Hungary, Chile and South Korea look most exposed. Net exporters gain an important buffer on both the fiscal and external fronts, but still need to manage the upswing carefully to avoid overheating and renewed inflation persistence. Canada is likely a key beneficiary, while EM exporters such as Colombia, Mexico, Brazil and Malaysia may still need to navigate higher global uncertainty and potentially less-anchored inflation expectations.

Figure 1



Source: Wells Fargo Economics

Figure 2



Source: Wells Fargo Economics

Advanced Economies

- **Eurozone and UK: Shifting policy calculus implies reduced appetite for rate cuts.** Higher energy weights in CPI, more flexible pricing and a heavier reliance on imported energy complicate the outlook for both the ECB and the BoE. Eurozone headline and core inflation surprised to the upside in February —and it was largely a "core" story: services firmed, goods disinflation faded, unprocessed food ran hotter and energy's deflationary drag diminished. With energy prices now being shocked higher, the ECB's balance of risks shifts from managing a potential undershoot toward guarding against an overshoot. The March meeting—when staff forecasts are refreshed—should bring meaningful upward revisions to 2026 inflation; the size of any lift to 2027 will be the tell for concerns about second-round effects. Modest upward revisions at the medium-term horizon would still argue for the ECB to sit on the sidelines and preserve optionality, but the asymmetry is for tightening in H2 if oil prices move materially higher. In contrast, we do not expect the BoE to tighten this year and continue to see scope for rate cuts, though we have pushed the timing back to Q2-Q3 (June and September); next week's meeting should deliver a cautious hold, with cuts still on the table given elevated unemployment and subdued growth, albeit with risks skewed toward a longer hold if the conflict drags on.

- **Canada: Sustained rise in oil prices changes BoC's policy path**. In our previous monthly, the weak domestic backdrop—softening labor markets, trade-exposed sectors under pressure and easing underlying inflation—left room for additional BoC cuts in Q2-Q3. That logic looks dated if the external impulse from oil proves durable: higher energy prices would support nominal income, bolster parts of the Canadian growth mix and keep inflation uncomfortably above target. We, therefore, no longer expect near-term cuts and instead see the policy stance shifting to a tightening bias. The March 18 meeting is likely too early for a major shift in tone, particularly with USMCA-related risks still looming. For now, we pencil in a 25 bps hike in Q3-2026, with scope for more if oil prices extend higher, USMCA risks fail to materialize (i.e., the tariff-weighted average is broadly unchanged) and/or fiscal rollout is faster than expected.

- **Japan: Risk profile intensifies in a higher-oil world—and the JPY remains the pressure valve**. Higher oil prices worsen an already difficult fiscal and policy trade-off for the Bank of Japan (BoJ). A weaker economy would likely increase calls for fiscal offsets, amplifying market concerns about deteriorating debt dynamics and rising debt-service costs. Recent inflation outturns also reduce the BoJ's appetite to tighten in the near term, even as recession risks could rise later in 2026—reinforcing a bias toward caution. We keep our call for one additional BoJ hike later this year, but further tightening likely requires a significantly more adverse oil scenario. The macro mix points to persistent JPY weakness, punctuated by episodes of verbal—and, potentially, actual—intervention. That said, with the JPY largely rangebound recently and the shock both large and exogenous, Japan may wait for cleaner market conditions before leaning more aggressively against depreciation—implying further downside drift in the interim.

Figure 3

Source: National Central Banks, IMF, OECD, World Bank, EIA and Wells Fargo Economics

Figure 4

Source: National Central Banks, IMF, OECD, World Bank, EIA and Wells Fargo Economics

Emerging Markets

- **China:** We have revised China's growth outlook lower, with activity now tracking toward the bottom of the 4.5%–5% target range—and potentially below it if oil prices stay elevated for longer. That range is a target, not a floor. Policy constraints amplify the downside: high public and private leverage limits fiscal stimulus, while aggressive monetary easing risks capital outflows. This is a slowdown story, not a crisis—China's large current account surplus and ample FX reserves should prevent a BOP shock and keep the renminbi broadly stable. Still, weaker external conditions layered onto limited policy space and structural growth headwinds point to softer near-term momentum and more meaningful longer-run costs if the oil shock persists.

- **India:** We have revised our growth forecast modestly lower to reflect India's sensitivity to higher oil prices, but India still screens as one of the strongest performers in 2026. The economy entered the shock with solid fundamentals, providing a meaningful buffer against higher energy costs. Headline inflation is likely to pop in the near term, but we expect limited pass-through to core and see the inflation impulse as temporary. With pre-conflict CPI already below the Reserve Bank of India's (RBI) target, policymakers retain flexibility. Strong growth dynamics argue against a dovish pivot, while below-target inflation and a supply-driven shock should also prevent a hawkish turn. Net-net, risks around policy are now more balanced, but we continue to expect the RBI to remain on hold through mid-2027.

- **Brazil:** Higher oil prices, combined with resilient pre-Iran growth momentum, reinforce our view that the Brazilian Central Bank (BCB) will ease more slowly than consensus expects. The terms of trade boost should support near-term activity but also keep inflation uncomfortably high, particularly against a backdrop of fiscal slippage ahead of elections. We therefore expect the BCB to start with a cautious 25 bps cut this month and maintain a measured pace thereafter, especially as BRL pressures re-emerge and the fiscal framework is increasingly tested. Elections remain central to the outlook: polls suggest a tightening race, reinforcing our view for Lula to be defeated, with our base case for a conservative candidate, most likely Flavio, to win the presidency. While structural constraints limit rapid fiscal repair, a conservative administration would likely reduce risk premia, improve medium-term stability and allow the easing cycle to extend gradually into 2027.

- **Mexico:** Mexico is less exposed to higher oil prices given its net exporter status, but any gains are likely to be offset by softer U.S. demand and weaker consumer confidence. Higher headline inflation may further weigh on near-term consumption, reinforcing an already subdued growth outlook for 2026. USMCA renegotiations loom large and, even under a benign outcome, are unlikely to improve Mexico's terms of trade. Near-term inflation should keep Banxico on hold at the March meeting, but slowing growth and downside risks argue for a resumption of easing by mid-year. We have therefore added 50 bps to our easing forecast, taking the terminal rate to 6.50%, below current market pricing. Despite expected rate cuts, we remain relatively constructive on MXN: valuations look stretched, but political risk compares favorably to peers, making the peso attractive for carry-oriented exposure with commodity support.

Figure 5

Source: Wells Fargo Economics

"High Vulnerability" is implied by larger CPI and more negative GDP, Current Account and Fiscal Balance changes to higher oil prices in relative terms
Green = Low, Yellow = Medium, Red = High

Source: International Monetary Fund and Wells Fargo Economics

Source: Bloomberg Finance L.P. and Wells Fargo Economics

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All estimates/forecasts are as of 3/12/2026 unless otherwise stated. 3/12/2026 13:47:57 EDT.

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